Amazon.com, Inc.

AMZN NASDAQ

Buy	$245.63 ▲ 2.20%	12M Price Target $285.00	52-Week Range $196.00 – $287.20	Market Cap $2.66T

AMZN: Bounces After Selloff, Options Flow Flashing Caution

WHAT HAPPENED

- Stock bounced +2.2% to $245.63 after getting hammered 5% last Wed/Thu on heavy volume (85M and 104M shares — roughly 2-3x normal). That kind of selloff on huge volume usually means institutions were repositioning after earnings or guidance — and today's bounce is a relief rally, not a confirmed reversal.
- The real tell: massive unusual PUT buying at the $247.50 and $250 strikes expiring in November — someone paid $58M+ in premium betting this stock stays below $250 into month-end. That's "smart money hedging" and it's worth paying attention to.

WHY IT MATTERS

Here's what I'm reading: the sector (Consumer Discretionary) just ripped +3.4% over 5 days, but AMZN is lagging that bounce — it's at 54% of its 52-week range while the sector is near highs. That tells me something company-specific is weighing on it, likely the AI capex spending ($100B+ guided for 2026) that spooked investors last week. The unusual put flow at strikes right at current price isn't necessarily directional bets — it's often institutions buying insurance into event risk, which means something is on the calendar (regulatory decision, Fed meeting, or follow-through from earnings commentary). The bigger picture: with 68.8% institutional ownership and Blackrock/Vanguard sitting on huge positions, this stock doesn't crash — but it can grind sideways while the AI spending debate plays out.

POLICY & POLITICAL WATCH

Three live wires for AMZN right now: (1) The FTC antitrust case is still grinding through courts — a breakup remedy is unlikely but any adverse ruling on Prime bundling or marketplace practices hits valuation directly. (2) The administration's AI infrastructure push (data center permitting, grid buildout) is a tailwind for AWS, which needs power for Trainium chips and Anthropic workloads. (3) Watch tariffs — any renewed China trade escalation hits the retail side hard since a huge chunk of third-party sellers source there, and AMZN eats some of that pain to protect Prime price perception.

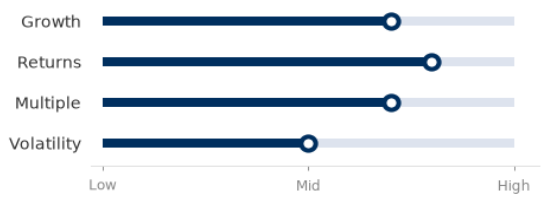
IS IT EXPENSIVE?

At ~36x forward earnings (meaning you're paying $36 for every $1 of expected profit next year), AMZN is NOT cheap — but it's reasonable for a company compounding AWS at ~19% and expanding retail margins. The real question is EV/EBITDA around 17x — that's a premium to Walmart but a discount to pure-play cloud peers. Justified if AWS reaccelerates; expensive if AI capex eats margins for another 2 years without revenue follow-through.

Key Data

Price (USD)	**$245.63**
12M Price Target	**$285.00**
Upside / (Downside)	**+16.0%**
Market Cap	**$2.66T**
FY2026E Revenue	**$712M**
FY2027E Revenue	**$785M**
FY2026E EPS	**$6.85**
FY2027E EPS	**$8.10**
Fwd P/E	**35.9x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$265.00**	$250.00	**$230.00**
6 Months	**$300.00**	$270.00	**$220.00**
1 Year	**$325.00**	$285.00	**$210.00**
2 Years	**$380.00**	$320.00	**$200.00**
5 Years	**$500.00**	$400.00	**$220.00**
10 Years	**$750.00**	$550.00	**$250.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+3.4% 5D) and Materials (+4.5% 5D) — this is a classic "soft landing / rate cut" trade where investors bet consumer spending holds up and industrial demand recovers.

COOLING OFF: Nothing dramatically weak in today's tape, but tech/communications are notably absent from the leaderboard — money is rotating OUT of mega-cap AI names into broader cyclicals.

ROTATION WATCH: Capital is moving from "AI winners" to "AI beneficiaries and cyclicals" — that's why AMZN is lagging its own sector right now. It's trapped between being a tech story (out of favor) and a retail story (in favor).

RELATED PLAY: If you believe the AI capex cycle continues, the picks-and-shovels names (data center REITs like EQIX, power/utility plays, and cooling infrastructure) benefit regardless of which hyperscaler wins.

WHO'S WINNING IN THIS SPACE?

- WMT (Walmart): Winning on grocery scale and the ads business — directly taking share in categories AMZN used to dominate.
- COST (Costco): Membership model is bulletproof in uncertain consumer environment — this is where defensive money hides.

AMZN CONTEXT: AMZN is LAGGING both the sector and key peers right now, which is unusual. That underperformance is almost entirely the AI capex overhang. Historically, when AMZN lags for a quarter or two and then AWS prints a strong number, the stock rips 15-20% in weeks. That's the setup to watch for.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Core long-term holding, but near-term options flow is telling me to be patient on entries rather than chase this bounce.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that AI capex headlines don't ruin your week.

ENTRY POINTS: I'd add in the $238-243 zone where the stock found support last week. If those put strikes get defended by sellers into expiration, we could see another dip to test $240.

TIME HORIZON: 12-24 months — the catalyst is AWS revenue acceleration showing the AI capex is paying off, likely visible in Q2/Q3 2027 earnings.

WHEN TO BAIL: If AWS growth prints below 15% two quarters in a row, or if the FTC lands a meaningful structural remedy, the thesis is broken.

HEDGING: Simplest hedge — if you own 100+ shares, buy a put option 5-10% below current price as insurance. Costs you a small premium but caps your downside if the AI spending story unravels.

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